

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02347

Report ID:	AR-02347
Audit Type:	Financial Transaction Audit
Report Date:	September 05, 2024
Audit Period:	2023-11-28 to 2024-08-08
Lead Auditor:	Monica Gordon (EMP-32589)
Reviewed By:	Kathleen Murphy (MGR-7414)
Primary Vendor Reference:	TrueNorth Services Holdings (VND-04355)
Subject Employee Reference:	Rebecca Zamora (EMP-39512)
Primary Transaction Reference:	TXN-436754
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2023-11-28 to 2024-08-08 and examined transactions, approvals, and compliance records associated with vendor TrueNorth Services Holdings (VND-04355) and employee Rebecca Zamora (EMP-39512). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-436754 (amount 35,988.35 CAD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004929	MEDIUM	EXPIRED COMPLIANCE	Payment of \$220,517 released to Epsilon_Group whose GDPR compliance expired 148 days before payment date.
FND-002865	MEDIUM	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0013 requires receipts for all claims above \$50.

Finding ID	Severity	Category	Description
FND-000702	MEDIUM	VENDOR RISK	Vendor LucentBridge Technologies Inc holds CRITICAL risk rating. 3 payments totalling \$5,320 processed in the audit period.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001912	AUDIT REPORT	EVD-SBG-0454	0.60
EVI-004848	HR RECORD	EVD-EOZ-2215	0.64
EVI-005045	EXPENSE CLAIM	EVD-ZOS-1192	0.76
EVI-017838	TRANSACTION RECORD	EVD-ACF-8776	0.65

5. RECOMMENDATIONS

- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Require compliance certificate verification as a system gate prior to payment release.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Monica Gordon	EMP-32589	2024-09-05
Reviewing Officer	Kathleen Murphy	MGR-7414	2024-09-07